and issued the new Foodstuffs Order in September 2016, superseding the 2002 Order. Worded similarly to the 2002 order, it included some additional foodstuffs: wheat products (maida, rava, suji, atta, resultant atta and bran), gur (jaggery), and hydrogenated oils or vanaspati. The NDA government was also not willing to go the whole hog, however. The order was placed under abeyance for varying periods of time for pulses, sugar, edible oilseeds and oils. Onions were also removed from the scope of the 2016 order in August 2017.

ECA Reforms Undertaken in 2020 as Part of Farm Laws Were Meaningless

The Essential Commodities (Amendment) Act, 2020, promulgated in September 2020, modified the regulatory and control regime for foodstuffs.

It did not, however, exclude agricultural commodities from the Schedule of ECA-1955. Nor did it delete Section 2 Subsection 4, which conferred jurisdiction on the Central government to exercise the powers of ECA-1955 over foodstuffs. The Act only modified the circumstances in which the regulatory and control authority was exercised in case of foodstuffs, more specifically in the matter of specifying stock limits, by building in some additional exclusions.

To exercise regulatory authority for fixing the stock limit only, extraordinary price rise was defined as 100 per cent price rise in case of horticulture produce and 50 per cent price rise in case of other crops over the price prevailing the previous year on the same day or five years' average retail price, whichever is lower. A 100 per cent price rise year on year for onions and other horticulture produce is very common. Terms like extraordinary price rise and natural calamity were too nebulous to be determinants in the application of ECA-1955.